limited help to the LTTE covertly, not any kind of ideological support for a separate Eelam in public. On the other hand, the Sri Lankan government's foreign policy thrust was to secure maximum assistance from the West for economic development. Economic difficulties had forced Sri Lanka to formally apply for membership of the Association of South East Nations (ASEAN). Because of its pro-West posture and its approval to the Coast Corporation of America for the set up of an oil storage terminal at Tricona-malee, this was a serious concern to India and the Indians decided to silently oppose the terminal project.

Though he cited foreign intelligence analysts, Arora made it clear that India's policy in Sri Lanka was not feasible. He argued that the Indian military intervention lacked foresight and that fighting a guerrilla war in foreign terrain was a big mistake. In a situation like Sri Lanka where stability was important for a peaceful neighbourhood, insurgency was not a viable option, he said. While the situation definitely provided India with a certain advantage in establishing strongholds in Sri Lanka, we had to pay a heavy price for it when, years later, the LTTE assassinated Rajiv Gandhi. The CIA had said:

There are two possible scenarios. In the more likely scenario, the Sri Lankan military's increased training and experience in counterinsurgency would eventually yield significant gains against insurgent strongholds and stem the rate of terrorist attacks in Colombo.

Under these circumstances, President Jayewardene would be more likely to offer concessions on Tamil autonomy— including greater provincial control of police forces and land settlement policies—and negotiate a settlement with some Tamil groups. An Indian crackdown would not be sufficient to contain LTTE.